Craig Horton Advisory

The Transformation Brief

Issue 18 · Friday 7th August 2026

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Good morning. On Wednesday Gartner reported that most chief supply chain officers cannot see the return on their AI spending, while two thirds of their digital investment now goes to AI. KPMG, surveying 1,750 transformation leaders, found half of them describing their AI productivity gains as incremental.

Two firms, two methods, one answer. The money is going in and the return is sitting somewhere nobody funded.

The lead signal

The ROI is stuck in the seventy percent

Gartner surveyed 394 supply chain professionals at organisations turning over at least $250m, then 135 senior leaders. **55% are unclear on the return from their AI investments**, while **67% of supply chain digital investment is now allocated to AI**.

Gartner, 5th August 2026

The interesting part is the cause Gartner names. AI use cases proliferate faster than organisations can build the change approaches to support them. The technology is not the constraint, the absorption is.

KPMG reaches the same place from a different direction. Organisations are running an average of **3.5 transformations at once**, and **48% call their AI productivity gains incremental**, with only 11% describing them as substantial. KPMG's own reading is that enterprises are scaling AI faster than they are redesigning themselves to support it, so the gains stay local and never become enterprise results.

KPMG, Transforming the Enterprise 2026, 1,750 leaders across 20 countries

This is the 10-20-70 rule with a survey attached. Ten percent algorithms, twenty percent technology, seventy percent people, process and organisational design. The industry keeps funding the thirty and then asking why the seventy has not delivered.

A CSCO who cannot see the ROI is not looking at a failed model. They are looking at a model that works, dropped into a workflow nobody redesigned, staffed by people nobody prepared, measured against a number nobody agreed.

Hapag-Lloyd is worth looking at for the contrast. Their Fast Forward finance transformation covers 4,000 SAP users across more than 140 countries, and they have put **265 key users into the field**

as change ambassadors across six regions, translating global standards into local language and practice.

> Change Management is anchored in our program as a strategic enabler.
>
> **Dulaan Punsag-Odefey, OCM Lead, Hapag-Lloyd**

Anchored, not appended. That word is doing a lot of work, and it is the difference between a programme that budgets for adoption and one that hopes for it.

SAP's own conclusion from its customer reporting is blunter still. Technology adoption alone creates no business value, and plugging AI agents into your system landscape will drive zero value on its own.

SAP News Center, customer reporting on AI adoption, July 2026

One-question pulse

This month we are measuring the Strategic Alignment driver of the Blueprint. Your answer joins the Blueprint Index, which we publish in the next issue.

Can your board or executive team articulate your organisation's AI strategy in one sentence that would survive a 30-second explanation to a new hire?

Answer in 15 seconds, anonymous, no email: brief.craighortonadvisory.com/pulse

From my office

Change enablement is one of the four things the AI Business Value Framework scores, alongside strategic alignment, financial return and governance risk. It is there because a strong financial case with weak change enablement does not become value, it becomes a Fix with a plan attached.

When the engine returns a Fix on change enablement, the plays are always the same shape. Write the case for change. Name the sponsor coalition. Listen to the people whose work is about to change. Connect the initiative to one board-level measure. Cut the scope that does not pay.

None of that is exotic, and almost none of it is budgeted. Gartner has now put a number on what happens when it is skipped, and the number is 55% of supply chain leaders who cannot tell you what they got.

On the radar

1 Gartner's own prescription is a change strategy, not a tech one

Their advice to CSCOs is a rightsized change management strategy that explicitly links change execution to AI strategy, supply chain strategy and enterprise priorities, so that change resource goes to outcomes rather than to individual activities.

Read that as a warning about change theatre. Activity is easy to fund and easy to report. Outcomes need somebody to own them.

Gartner, 5th August 2026

2 Three and a half transformations at once

KPMG's finding that organisations run an average of 3.5 concurrent transformations deserves more attention than it gets. Every one of them competes for the same sponsors, the same change capacity and the same exhausted middle managers.

Pace layer drag is not a metaphor. It is what happens when four programmes need the same twelve people.

KPMG, Transforming the Enterprise 2026

3 Capability is starting to decide retention

Gartner predicts that by 2027 half of enterprises without a people-centric AI strategy will lose their top AI talent to rivals.

Same seventy percent, different symptom. Leaders who file this under HR will watch their best people leave for the organisations that treated it as strategy.

Gartner, 13th May 2026

The question I would take into the room

Look at your largest AI programme and find the change enablement line in its budget. If there is no line, you have not bought a transformation, you have bought a licence and a hope.

Once again, I appreciate your interest and time to read this brief, and as always, look forward to your feedback and comments. Enjoy your weekend, Craig